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Things CFPs Want You to Know About Having Kids



1 Add term life insurance before getting pregnant.

Once you're pregnant — and especially the farther along it gets in your pregnancy — it may be harder to qualify for a preferred rate. This is particularly true if certain health issues crop up, like gestational diabetes, high blood pressure, or preeclampsia. Large changes in weight can also cause issues, since insurers perform a weight/height calculation that factors into the amount you'll pay.



2 Don't sleep on disability insurance coverage.

Most people think about life insurance when starting a family, but for a new parent, disability coverage is equally as important. In the case that you or your partner encounters a health issue that keeps you from getting a paycheck, disability insurance can be a lifesaver that kicks in to help cover your bills. (Forbes has a disability insurance calculator, if you're in the market for a policy.)



3 Ask if a payment plan is available before racking up credit card debt.

Almost anything you need to buy for your kiddo will come with some kind of payment plan option. This includes medical bills from the delivery and hospital stay. Call to find out what your options are. They often come without interest — or are low on interest — which is way better than putting it on a credit card without a plan to pay it off.



4 Run the numbers on staying home.

If your dream is to be a stay-at-home parent — and you can afford it — then by all means, live your best life. If, however, you're on the fence, don't assume that both parents need to work (hello childcare that costs the same as college tuition) or that you can't afford to quit your job. It's never really that simple. Leaving a job includes potentially leaving behind several hundred thousand to millions of dollars in lost employment benefits like accrued social security, 401(k) matches, and pensions.



5 Consider other goals before college.

If you want to start saving up for your child's college education, that's great, but take a look at the larger picture first. Are you prioritizing things like debt reduction, emergency funds, and retirement savings? As almost every CFP I've ever spoken to has said in one form or another: "Your child can always take out a loan for college. There's no such thing as a loan for retirement."



6 Sign up for your FSA ...

A Flexible Spending Account (FSA) is set up through your employer and allows you to use pre-tax money to pay for out-of-pocket health care or dependent care costs, like childcare.



7 ... and your HSA.

Additionally, a Health Savings Account (HSA) is a personal, tax-advantaged savings account primarily used to help you cover qualified medical expenses. Contributions to this type of account are tax-deductible (thereby reducing your taxable income), the earnings grow tax-free, and withdrawals are tax-free. Tax advantages all around!!



8 Use nicknames for your savings accounts.

This is often an effective way for people to save for defined goals more religiously. One CFP admitted to me that after he started nicknaming his accounts with specific goals, it became a strong psychological motivation to save for "Dream Vacations," "Emergency Funds," and "College Incidentals."



9 Think twice before putting funds in a child's name.

Depending on where you live, you may have access to financial accounts like Uniform Transfer to Minor Accounts (UTMAs) and/or Uniform Gift to Minor Accounts (UGMAs). These are brokerage accounts that help adults save and invest on behalf of their child until the child reaches a certain age. At that point, the account is legally transferred to the child. That might sound nice in theory, but are you absolutely certain your child will be ready to handle what you've been diligently saving for them, just because the state says that they are now an adult?



Maybe. But maybe not. Learn more about these types of accounts — and questions to consider before opening one — here.

10 Always shop with a list, no matter where you go.

This is helpful advice whether you're a parent or not. Doing so helps you stay focused and avoid overspending.



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for Their Tomorrow